



Prepare 50% Faster

Study Notes

SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003

Descriptive Question Notes

Question no. 1. What do you understand by “dealing in securities” as mentioned in SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations 2003?

- Dealing in securities include
 - ✓ **an act of buying, selling or subscribing** pursuant to any issue of any security or **agreeing to buy, sell or subscribe** to any issue of any security or otherwise **transacting in any way** in any security by any persons including **as principal, agent, or intermediary referred to in section 12 of the Act, either by themselves or through mule accounts;**
 - ✓ such acts which may be **knowingly designed to influence the decision of investors in securities;** and
 - ✓ any act of **providing assistance** to carry out the aforementioned acts

Question no. 2. What all actions are considered to be fraud as mentioned in SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations 2003?

- **Fraud** includes any act, expression, omission or concealment **committed whether in a deceitful manner or not** by a person or by any other person **with his connivance or by his agent** while dealing in securities in order to induce another person or his agent to deal in securities, **whether or not there is any wrongful gain or avoidance of any loss.**
- Fraud also includes
 - ✓ A knowing misrepresentation of the truth or concealment of material fact in order that another person may act to his detriment.
 - ✓ A suggestion as to a fact which is not true by one who does not believe it to be true
 - ✓ An active concealment of a fact by a person having knowledge or belief of the fact
 - ✓ A promise made without any intention of performing it
 - ✓ A representation made in a reckless and careless manner whether it to be true or false
 - ✓ Any such act or omission as any other law specifically declares to be fraudulent
 - ✓ Deceptive behaviour by a person depriving another of informed consent or full participation
 - ✓ A false statement made without reasonable ground for believing it to be true
 - ✓ The act of an issuer of securities giving out misinformation that affects the market price of the security, resulting in investors being effectively misled even though they did not rely on the statement itself or anything derived from it other than the market price.

Nothing contained in the definition of fraud shall apply to **any general comments made in good faith in regard to**

Economic policy of the government, economic situation of the country, trends in the securities market or any other matter of a like nature, **whether such comments are made in public or private**

Question no. 3. What all dealings in securities are prohibited as per SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003?

Regulation 3 – Prohibition of certain dealings in securities

No person shall directly or indirectly—

- (a) buy, sell or otherwise deal in securities in a fraudulent manner;
- (b) use or employ, in connection with issue, purchase or sale of any security listed or proposed to be listed in a recognized stock exchange, any manipulative or deceptive device or contrivance in contravention of the provisions of the Act or the rules or the regulations made thereunder;
- (c) employ any device, scheme or artifice to defraud in connection with dealing in or issue of securities which are listed or proposed to be listed on a recognized stock exchange;
- (d) engage in any act, practice, course of business which operates or would operate as fraud or deceit upon any person in connection with any dealing in or issue of securities which are listed or proposed to be listed on a recognized stock exchange in contravention of the provisions of the Act or the rules and the regulations made thereunder

Question no. 4. SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003 prohibits manipulative, fraudulent and unfair trade practices. Elaborate.

Regulation 4 – Prohibition of manipulative, fraudulent and unfair trade practices

- No person shall indulge in a manipulative, fraudulent or an unfair trade practices in securities market
- Any act of **diversion, misutilisation or siphoning off of assets or earnings** of a company whose securities are listed or **any concealment of such act or any device, scheme or artifice to manipulate the books of accounts or financial statement** of such a company that would directly or indirectly manipulate the price of securities of that company or transactions through mule accounts for indulging in manipulative, fraudulent and unfair trade practice shall be and shall always be deemed to have been considered as manipulative, fraudulent and an unfair trade practice in the securities market

**SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003 –
 Descriptive Question Notes**

- Dealing in securities shall be deemed to be manipulative fraudulent or an unfair trade practice if it involves any of the following
 - ✓ **Knowingly indulging** in an act which **creates false or misleading appearance of trading** in securities market
 - ✓ Dealing in a security **not intended to effect transfer of beneficial ownership** but intended to operate only as a device **to inflate, depress or cause fluctuations** in the price of such security for wrongful gain or avoidance of loss
 - ✓ **Inducing** any person **to subscribe to an issue of securities for fraudulently securing the minimum subscription** to such issue of securities, by **advancing** or agreeing to advance **money**
 - ✓ **Inducing** any person for dealing in securities **for artificially inflating, depressing, maintaining or causing fluctuation in the price of securities**
 - ✓ Any act or omission amounting to **manipulation of the price of a security** including influencing or manipulating the reference price or bench mark price of any securities
 - ✓ Knowingly publishing or causing to publish or reporting any information relating to securities, including financial results, financial statements, mergers and acquisitions, regulatory approvals, **which is not true or which he does not believe to be true** prior to or in the course of dealing in securities
 - ✓ Entering into a transaction in securities **without intention of performing it** or without intention of change of ownership of such security
 - ✓ **Selling, dealing or pledging of stolen, counterfeit or fraudulently issued securities whether in physical or dematerialized form.** Provided if the person selling, pledging etc was a holder in due course and these securities were preciously traded on the market through a bonafide transaction, then such transaction will not be considered as manipulative, fraudulent, or unfair trade practice.
 - ✓ **disseminating information** or advice through any media, whether physical or digital, which the disseminator knows **to be false** or misleading in a reckless or careless manner and which is designed to, **or likely to influence the decision of investors** dealing in securities
 - ✓ a **market participant** entering into transactions on behalf of client without the knowledge of or instructions from client or **misutilizing or diverting the funds** or securities of the client held in fiduciary capacity
 - ✓ **circular transactions** in respect of a security entered into between persons including intermediaries **to artificially provide a false appearance of trading in such security or to inflate, depress or cause fluctuations** in the price of such security
 - ✓ **fraudulent inducement** of any person by a market participant to deal in securities with the objective of enhancing his brokerage or commission or income
 - ✓ an **intermediary predating or otherwise falsifying records** including contract notes, client instructions, balance of securities statement, client account statements

**SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003 –
 Descriptive Question Notes**

- ✓ **any order in securities** placed by a person, while directly or indirectly in **possession of information that is not publically available**, regarding a substantial impending transaction in that securities, its underlying securities or its derivative
- ✓ knowingly **planting false or misleading news** which may induce sale or purchase of securities
- ✓ mis-selling of securities or services relating to securities market
- ✓ illegal mobilization of funds by sponsoring or causing to be sponsored or carrying on or causing to be carried on any collective investment scheme by any person

Question no. 5. What do you understand by mis-selling?

Mis-selling is mentioned in SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations 2003. Mis-selling of securities or services relating to securities market is prohibited under the regulation.

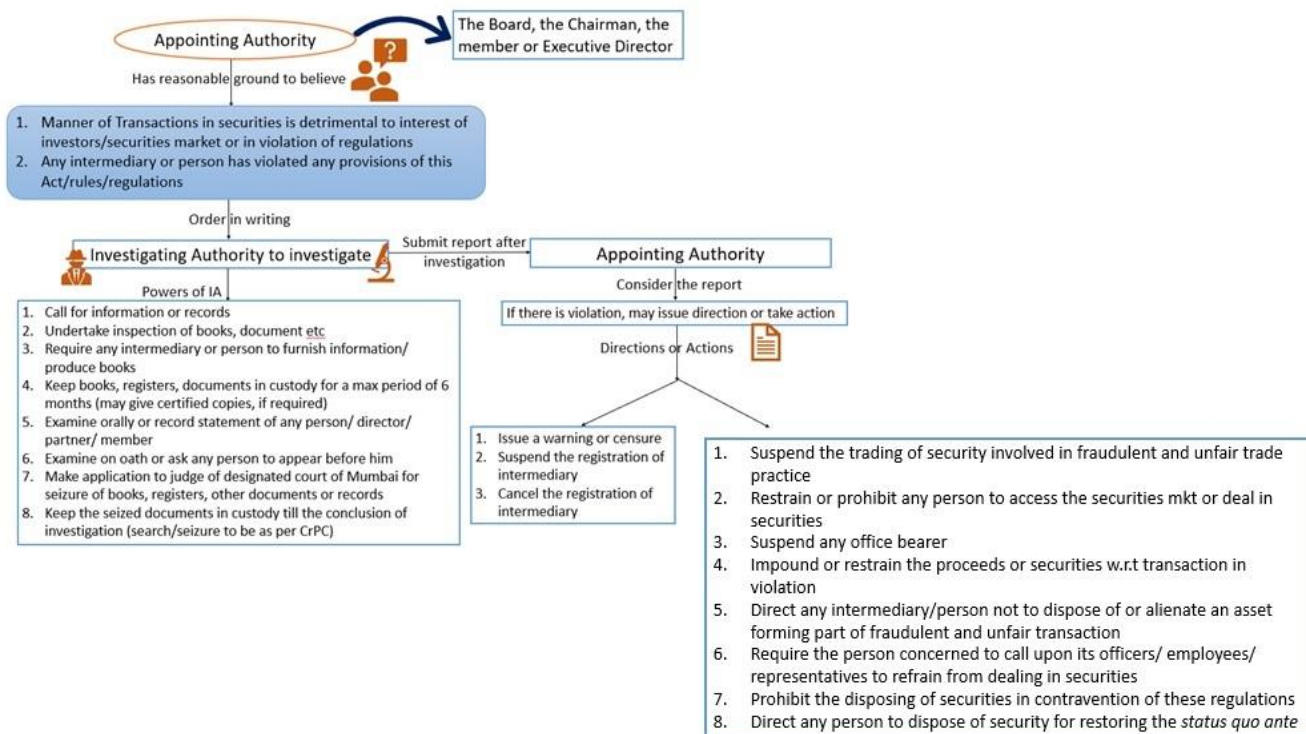
Mis-selling means sale of securities or services relating to securities market by any person, directly or indirectly, by

- (i) knowingly making a false or misleading statement, or
- (ii) knowingly concealing or omitting material facts, or
- (iii) knowingly concealing the associated risk, or
- (iv) not taking reasonable care to ensure suitability of the securities or service to the buyer

SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003 – Descriptive Question Notes

Question no. 6. Briefly explain the investigation procedure as mentioned in SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003.

You will need to write this in paragraph form.



Question no. 7. What are the powers of Investigating Authority under SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003?

Powers of Investigating Authority are mentioned in Regulation 6

1. Call for information or records
2. Undertake inspection of books, document etc
3. Require any intermediary or person to furnish information/ produce books
4. Keep books, registers, documents in custody for a max period of 6 months (may give certified copies, if required)
5. Examine orally or record statement of any person/ director/ partner/ member
6. Examine on oath or ask any person to appear before him
7. Make application to judge of designated court of Mumbai for seizure of books, registers, other documents or records
8. Keep the seized documents in custody till the conclusion of investigation (search/seizure to be as per CrPC)

**SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003 –
 Descriptive Question Notes**

Question no. 8. What are the various duties to cooperate with Investigating Authority under SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003?

Duties to co-operate are mentioned in Regulation 8

1. It shall be the duty of every person
 - To produce books, accounts and other documents and to furnish such statements and information as Investigating Authority may require
 - To appear before Investigating Authority when required to answer any question
2. It shall be the duty of every manager, MD, officer and other employee of company and every intermediary to produce to the Investigating Authority, all the books, registers, other documents and record of the Company
3. All such persons shall
 - Allow IA to have access to premises occupied by the person at reasonable times for the purpose of Investigation
 - Extend to IA reasonable facilities for examining any books, accounts and other documents in his custody or control for investigation
 - Provide to IA any such books, accounts and records which IA thinks are relevant and allow IA to take computer print-outs

Question no. 9. What action or direction can the Board take after conclusion of investigation under SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003?

As per Regulation 10, the Board, after consideration of the report submitted by IA, if satisfied that there is a violation of these regulations, will give a reasonable opportunity of hearing to the persons concerned and then issue such directions or take such action as is mentioned in Regulation 11 and 12.

As per Regulation 11, Board may, for reasons to be recorded in writing, in the interests of investors and securities market, issue or take any of the following actions or directions, either pending investigation or enquiry or on completion of such investigation or enquiry

1. Suspend the trading of security involved in fraudulent and unfair trade practice
2. Restrain or prohibit any person to access the securities mkt or deal in securities
3. Suspend any office bearer
4. Impound or restrain the proceeds or securities wrt transaction in violation
5. Direct any intermediary/person not to dispose of or alienate an asset forming part of fraudulent and unfair transaction
6. Require the person concerned to call upon its officers/ employees/ representatives to refrain from dealing in securities

**SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003 –
Descriptive Question Notes**

7. Prohibit the disposing of securities in contravention of these regulations
8. Direct any person to dispose of security for restoring the *status quo ante*

As per Regulation 12, the board may take following action against an intermediary

- (a) issue a warning or censure
- (b) suspend the registration of the intermediary; or
- (c) cancel of the registration of the intermediary

Question no. 10. What is the manner of service of summons and notices issued by the Board under SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003?

- **By delivering or tendering** it to that person or his duly authorised agent; or
- By sending it to the person by **fax or electronic mail or electronic instant messaging** services along with electronic mail or by courier or speed post or registered post
- By **affixing on the outer door** or some other conspicuous part of the premises in which the person resides or is known to have last resided, or carried on business or personally works, or last worked, for gain and a written report thereof shall be prepared in the presence of two witnesses (in case of failure to serve by modes given above)
- By **publishing in at least two newspapers**, one of which shall be in an English daily newspaper having nationwide circulation and another shall be in a newspaper having wide circulation published in the language of the region where that person was last known to have resided or carried on business or personally worked for gain (in case of failure to affix)